



# FAQ: The One Big Beautiful Bill, Explained

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On July 4, 2025, the [One Big Beautiful Bill Act \(OBBBA\)](#) was signed into law by President [Trump](#), capping off the final step of the [budget reconciliation](#) process for the 2025 fiscal year.

While the tax law is expected to grow the US economy by making [pro-growth](#) policies like 100 percent bonus depreciation and research and development (R&D) expensing permanent, it [misses an opportunity](#) to address the growing deficit and focuses too heavily on political carveouts like the “no tax on” exemptions that further complicate the tax code.

We [estimate](#) the tax law will increase long-run GDP by 1.2 percent and increase the deficit by \$3 trillion over the next decade when factoring in spending cuts and economic growth.

As America’s leading [nonpartisan](#) educational tax policy nonprofit, the Tax Foundation continues to educate lawmakers, journalists, and taxpayers on how this recent tax legislation may affect them and how policymakers can better improve the tax code. Below is a quick FAQ tax guide for the OBBBA.

***Disclaimer:*** *The information in this FAQ may not apply to your specific tax situation. Please direct any tax preparation and filing questions to a professional tax preparer or the Internal Revenue Service (IRS). The Tax Foundation cannot answer specific questions about your tax situation or assist in the tax filing process.*

# The Basics

**What is the One Big Beautiful Bill Act (OBBBA) and why was it introduced?**

**How does it relate to the 2017 Tax Cuts and Jobs Act?**

**What are the major tax changes in the law?**

**Are the tax provisions permanent or temporary?**

**Where can I learn more?**

## For Individuals

**How does it affect individual income tax rates and brackets?**

**Does it change the standard deduction?**

**Does the new law change the personal exemption?**

**Does it change the alternative minimum tax (AMT)?**

**How does it impact the child tax credit and other family-related benefits?**

**Does it include changes to the pass-through business deduction?**

**Have itemized deductions like the SALT cap changed?**

**Is there any change to the taxation of Social Security benefits?**

**How does it change the individual charitable deduction?**

**How do the Trump Accounts work?**

**How does it change the federal estate and gift tax?**

**How does “no tax on tips” work?**

**How does “no tax on overtime” work?**

**How does “no tax on auto loan interest” work?**

**How does it affect my tax refund?**

## For Businesses

**What changes does it make to business expensing? (like 100 percent bonus depreciation)?**

**How does it treat research and development (R&D) expensing?**

**How does OBBBA change expensing for structures?**

**Are there changes to interest deductibility or loss limitations?**

**Does it affect the IRA green energy tax credits?**

**What about international tax changes—is there anything affecting US multinationals?**

**What about colleges and universities?**

## Impact

**How are the major tax policies projected to affect the US economy?**

**How much are the major tax policies projected to cost in terms of federal government revenue?**

**How are the major tax policies projected to affect US debt/deficits?**

**Who will benefit from the OBBBA?**

**Will tariffs offset the cost of the OBBBA?**

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